

Multiple Choice

1. **Answer:** A

Options: A) Higher taxes on household income; B) Increased government spending; C) Increased taxes on corporate profits; D) Increased import tariffs; E) Decreased interest rates

Note: Correct option: A - Higher taxes on household income

2. **Answer:** A

Options: A) MC that first falls, but eventually rises, as output increases.; B) AP that first falls, but eventually rises, as output increases.; C) TC that first falls, but eventually rises, as output increases.; D) AVC that first rises, but eventually falls, as output increases.; E) MP that first falls, but eventually rises, as output increases.

Note: Correct option: A - MC that first falls, but eventually rises, as output increases.

3. **Answer:** A

Options: A) Both the price level and real GDP fall.; B) The price level rises but the change in real GDP is uncertain.; C) The price level falls but the change in real GDP is uncertain.; D) Real GDP falls but the change in the price level is uncertain.; E) The price level rises but real GDP falls.

Note: Correct option: A - Both the price level and real GDP fall.

4. **Answer:** A

Options: A) Rising per capita GDP in China increasing imports from the United States; B) Lower per capita GDP in China decreasing imports from the United States; C) Rising unemployment rates in the United States; D) Higher price levels in the United States relative to China; E) Decrease in the American GDP

Note: Correct option: A - Rising per capita GDP in China increasing imports from the United States

5. **Answer:** A

Options: A) Overproduction and wastage of crops; B) Lack of alternative employment; C) Excessive government intervention in agriculture; D) Inefficient farming methods; E) Low income of farmers

Note: Correct option: A - Overproduction and wastage of crops

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Structural'.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Labor has a fixed supply unlike land or capital'.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The price will rise to the breakeven point as firms exit the industry.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Interest rates become discounted by the anticipated rate of inflation. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key